SHORE

ACCOUNTING CHEAT SHEET PART 1 2026

Transactions to Trial Balance



Types of Accounts Explained

Assets:

Current Assets

- Stock/inventory – products that are ready to sell, along with the raw materials that are used to produce them
- Debtors – people who owe the business money

Non-current

- Fixtures and fittings – items added to a property (renovations)

Investment

- Shares – the business owning shares in another company
- Government bonds – type of investment in government
- Debentures – type of investment in another company

Intangible

- Goodwill – the established reputation of a business regarded as a quantifiable asset and calculated as part of its value when it is sold.

Liabilities:

- Creditors – people the business owes money to
- Mortgage – long term loan from the bank

Owner's Equity

- Capital – money contributed by the owner to the business
- Drawings – money taken out of the business by the owner

Expenses

- Purchases – to take possession of a given asset by paying a predetermined amount of money
- Cartage out/freight out – to pay for items to be shipped out of the business
- Cartage in/freight in – to pay shipping costs for items coming into the business
- Customs duty – tax imposed on imports and exports of goods
- Discount allowed – the business providing a discount for early payment to items purchased by a debtor
- Returns in – items being returned to the business (usually because they are faulty)

Revenue/Income:

- Fees received – income made by the business in a service-based industry
- Discount received – the business is provided a discount by one of their suppliers therefore saving money (income).
- Dividends received – income from the business owning shares

- Returns out – the business returning stock to another business due to it being faulty. They receive a refund.

Accounts to be used for different business transactions:

1. Whenever the business buys stock – use the *purchases* account
2. Whenever the business sells stock – use the *sales* account
3. Whenever the owner contributes to the business use the *capital* account
4. Whenever the owner draws out from the business for personal use you must use the *drawings* account
5. Whenever the business buys on account – use the *creditor* account
6. Whenever the business sells on account – use the *debtor* account
7. Whenever the business returns stock they bought on credit you must use the *returns out* account
8. Whenever a customer or debtor returns stock to the business you must use the *returns in* account
9. Whenever the business gives a customer a discount you must use the *discount given* account
10. Whenever the business receives a discount from a supplier you must use the *discount received* account.
11. Whenever the business borrows funds you must use the *Loan* account

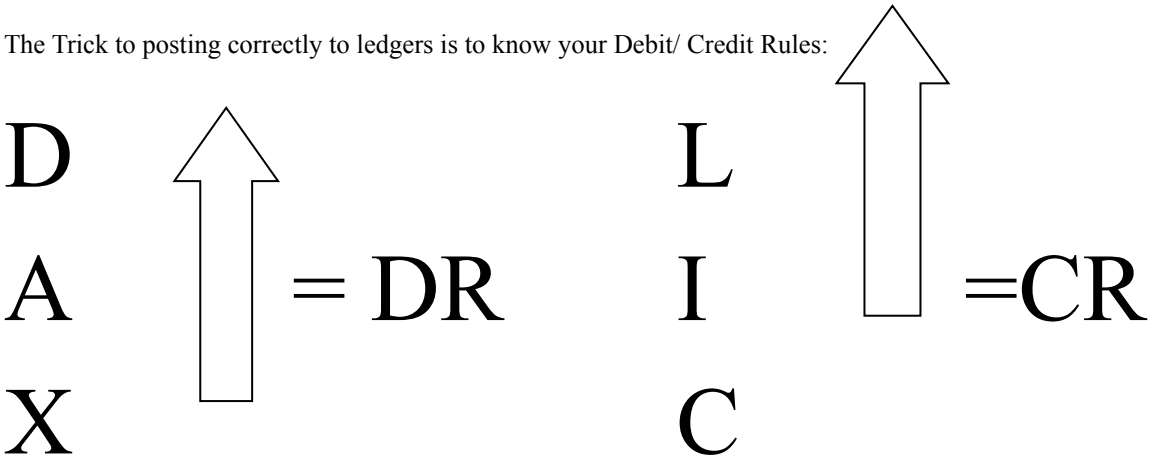
Accounting Equation

Assets = Liabilities + Owner's Equity

Expanded Accounting Equation

Assets = Liabilities (L) + Capital (C) – Drawings (D) + Revenues (I) – Expenses (X)

The Trick to posting correctly to ledgers is to know your Debit/ Credit Rules:



Where:

D = Drawings

L = Liabilities

A=Assets

I = Incomes

X = Expenses

C = Capital

Why? Because they are the rules!

The Trick to posting correctly to ledgers is to know your Debit/ Credit Rules:



Year 10 Commerce 2026
ACCOUNTING BOOKLET PART 2

CHEAT SHEET
THE MAJOR FINANCIAL STATEMENTS

1. Revenue Statements

2. Balance Sheets

3. Accounting Ratios



Types of Account:

There are 5 main types of account:

1. Assets
2. Liabilities
3. Owners' Equity
4. Expenses
5. Income/revenue

Assets:

- **Anything of value that the business owns**.
- E.g: land + buildings, plant + equipment, motor vehicles, stock, cash + debtors
- 4 types:
  - Current Assets: cash/assets that will become cash within one year. E.g cash, stock, debtors (30 days – "accounts receivable")
  - Non-Current Assets (fixed assets): business owns for more than one year (does NOT become cash). E.g land +buildings, plant + equipment, motor vehicles, furniture, fittings, fixtures, cash register.
  - Investment Assets: owned by company to earn a return. Does NOT help firm to achieve primary function, but DOES improve cash flow. E.g shares, debentures, gov. bonds.

- Intangible Assets: no physical characteristics, but DO have financial value. E.g: Goodwill; good reputation, loyal customer base, good location etc. – improved cash flow.

Liabilities:

- **Any claim (future payment) owed by business to persons/firms outside of business**.
- E.g: mortgage, creditors (suppliers), bank overdraft (take out more money than is in account)
- 2 types:
  - Current Liabilities: repaid within one accounting period (one year). E.g: bank overdraft, creditors
  - Non-Current Liabilities: do not have to be paid back within the year. E.g: mortgage loans, term loans, bank loans

Owner's Equity:

- **Any contributions to the business by its owners + any withdrawals of funds from business by owners.**
- E.g (3 types): capital (contributions by owner), drawings (withdrawals by owner), profit.

Expenses:

- **Things "used up" by the business in producing goods + services**.
- E.g: wages, taxes, electricity, discount allowed, cartage in, cartage out, customs duty, telephone, advertising, purchases.

Income/Revenue:

- Money received (income) from business's normal activities.
- Main income = sales/services performed.
- E.g: rent received, discount received, dividends received.
- When a business makes a one off sale of an asset (E.g sells motor vehicle), it is NOT income.

Accounts Requiring Special Attention:

- Stock (inventory):
  - Records how much stock business has at start of accounting year (Opening Stock).
  - Physical count of stock (stocktake) done at end of *accounting year* to work out Closing Stock.
  - Stock = Current Asset
  - Buying and selling of stock does not change stock account. Buying stock for resale goes in purchases account. Selling stock to customers goes in sales account.
  - Only asset to appear in revenue statement.

RATIOS

LIQUIDTY (WCR)

Current Ratio = $\frac{\text{Current Assets}}{\text{Current Liabilities}}$

GEARING (Solvency)

Debt to Equity = $\frac{\text{Total Liabilities}}{\text{Owner's Equity}} \times 100$

PROFITABILITY

1. Net Profit Ratio = $\frac{\text{Net Profit}}{\text{Sales}} \times 100$

2. Gross Profit Ratio = $\frac{\text{Gross Profit}}{\text{Sales}} \times 100$

3. Return on OE = $\frac{\text{Net Profit}}{\text{OE}} \times 100$

EFFICIENCY

1. Expenses Ratio = $\frac{\text{Total Exp}}{\text{Sales}} \times 100$

2. Accounts Receivable Turnover Ratio = Step 1: $\frac{\text{Sales}}{\text{Acc Rec}}$

Accounts Rec T/R in days = Step 2: $\frac{365}{\text{Step 1}}$

OTHER FORMULAS (Assumed knowledge)

1. Gross Profit = Sales – COGS
2. COGS = Opening Stock + Purchases – Closing Stock
3. Net Profit = Gross Profit – Expenses
4. A = OE + L or OE = A – L
5. OE = C + NP - D

Accounting Ratios

- Used by stakeholders to interpret financial statements + judge performance of the business.
- ALL RATIOS CAN BE USED IN 2 WAYS:
  1. Compare to industry benchmark.
  2. Compare ratio of the same business over time to get a trend.
- Measures:
  1. Liquidity
  2. Solvency
  3. Profitability
  4. Efficiency

1. Liquidity: Working Capital Ratio

- Measures cash flow of business.
- The businesses ability to pay its short term liabilities as they fall due.
- **Working capital ratio (current ratio) = current assets/current liabilities**

  Expressed as a ratio (e.g 2:1)
- Benchmark = 2:1
- If ratio below 1:1 (e.g 0.85) = "The business has serious cash flow problems as it is far below the benchmark of 2:1"
- If ratio above 1:1 but below 2:1 (e.g 1.5:1) = "This business has some cash flow problems because it is below the benchmark of 2:1"
- If ratio between 2:1 – 5:1 (e.g 3:1) = "This business has no cash flow problems"
- If ratio above 5:1 (e.g 150:1) = "This business has no cash flow problems, however, it would be more efficient to invest the excess cash"
- Example:

  CA/CL = 180 000/120 000 = 1.5/1

"This business has $1.50 in current assets to pay for every dollar of current liabilities. They have some cash flow problems because the ratio is below the benchmark of 2:1."

2. Solvency: Solvency Ratio

- Measures long term stability of business.
- A business is solvent if it can pay its liabilities (debts) as they fall due.
- Gearing: the level of debt compared to the level of equity used to fund the business.
  - All businesses have some debt + equity
  - Higher gearing = higher debt = higher risk of insolvency (less solvent)
- **Solvency/gearing ratio (debt to equity ratio) = (total liabilities/OE) x100**

  Expressed as %
- Benchmark = 100%
- Ratio above 100% = high gearing + high risk of insolvency.
- Ratio below 100% = low gearing + low risk of insolvency.
- Example:

  TL/OE = 55 000/55 000 = 100%

  "This business is funded equally by debt and equity."

3. Profitability: Gross Profit Ratio, Net Profit Ratio, Return on Owner's Equity Ratio

- The ability of the business to earn a return.
- 3 ratios:
  1. Gross Profit Ratio

2. Net Profit Ratio
3. Return on Owner's Equity Ratio

1. **Gross Profit Ratio** = **(Gross Profit/Sales) x100**

- Tells us the return from buying or selling stock
- Express as %
- **Sales – COGS = Gross Profit**
- There is no benchmark, however, the higher, the more profitable. Must compare to:
    1. Industry average
    2. Company trend over time
- Example:

  (180 000/450 000) x100 = 40%

  "This business makes 40c in gross profit from every $1 of sales. *compare to industry average, company trend*"

2. **Net Profit Ratio** = **(Net Profit/Sales) x100**

- Tells us the final profit after all expenses are taken out.
- **Gross Profit – Expenses = Net Profit**
- No benchmark (higher = more profitable)
- Can be compared to Gross Profit Ratio to indicate impact of expenses.
- Example

  (270 000/450 000) x100 = 6%

  "This business makes 6c in net profit from every $1 of sales. The business needs to improve their net profit because they are currently making a very small amount of money per dollar of sales."

3. **Return on Owner's Equity Ratio** = **(Net Profit/Owner's Equity) x100**

- Measures the return to the owner for their investment in the business
- Should be compared to the current market interest rate (**currently 2.25%**) – business is a good investment if it returns above rate

4. Efficiency: Expense Ratio, Accounts Receivable Turnover Ratio

- Measures how well a business controls its expenses + how efficiently it collects it's debtor payments
- 2 ratios:

1. **Expense Ratio:** = **(total expenses/sales) x100**
   - Tells us how much is spent on expenses from each $1 of sales.
   - No benchmark, but the lower the more efficient
   - E.g: (153 000/450 000) x100 = 34%

     "For each dollar of sales, this business spends 34c of expenses. They are…" *Compare to benchmark or company trend*

2. **Accounts Receivable Turnover Ratio:**
   - Steps:
     a) **(Credit) sales/accounts receivable = times collect debtors payment per year**
     b) **365/times " " = day**
   - Compare answer in days with credit terms.
   - Credit terms = how long you give your debtors to pay (usually 30 days)
   - If you collect in less than your credit terms you are efficient at collecting your debts.
   - E.g:

     Sales = 240 000

     Debtors = 36 000

     NOTE – all sales are credit sales, credit terms are 30 days

     Calculate ARTR. Comment on efficiency.

     = 240 000/ 36 000

     = 6.67

     =365/6.67

     =54.72 days

     "This business takes 54.72 days to collect its debts. They are very bad at collecting their debts as they are above the credit terms of 30 days by over 24 days."

Ratios Explained

Financial Stability

1. Liquidity **_Current Ratio = current assets / current liabilities_**

(also referred to as the working capital ratio and expressed as a ratio eg 2:1)

2. Solvency **_Debt to Equity ratio = total liabilities / owners equity_**

(also referred to as the gearing ratio and expressed either as a ratio or percentage when x 100/1)

Management Efficiency

1. Debtors turnover

Accounts receivable ratio = annual credit sales / accounts receivable

(expressed as a number eg 5.8 and used to divide the number of days in the year to create the average number of days it takes to receive outstanding debts eg 62 days)

2. Expenses **_Expense Ratio = total expenses / sales_**

(expressed as a ratio or percentage when x 100/1)

Profitability

1. Gross Profit **_Gross Profit Ratio = gross profit / sales_**

2. Net Profit **_Net Profit Ratio = net profit / sales_**

3. Return to Owners **_Return on OE = net profit / owners equity_**

(all 3 calculations are usually expressed as a percentage when x 100/1)

GOLDEN RULE: YOUR ANSWER SHOULD ALWAYS COMPARE TO INDUSTRY AVERAGE AND TRENDS (MOVEMENT OF RATIO FROM YEAR TO YEAR.)

Ask yourself: IS IT IMPROVING OR DETERIORAITING?????

LIQUIDITY:

Less than 1:1 as an example: 0.86: 1 **– Business is not liquid, serious cash flow problems**. For every $1 of current liabilities the business has $0.86 of current assets. The business is unable to pay their current debts as they fall due. INDUSTRY AVERAGE…… TRENDS….

1:1: The Business has some liquidity and some cash flow problems. For every $1 of current liabilities the business has $1 of current assets. The Business is able to pay their current debts as they fall due. INDUSTRY AVERAGE…… TRENDS…. **Additional commentary:** However, the business may have issues in paying all current liabilities at once should some or all of their current assets be tied up in stock.

2:1 – or greater: The business is liquid. For every $1 of current liabilities the business has (insert number here) of current assets. The business has a surplus of current assets to pay their current debts. INDUSTRY AVERAGE…… TRENDS….

10:1 or Greater: The business is highly liquid. For every $1 of current liabilities the business has $10 of current assets. The business has a surplus of current assets to pay their debts as the fall due. INDUSTRY AVERAGE…… TRENDS…. **Additional commentary:** However, the business may not be using their current assets effectively. The business could consider spending their current assets on investments or non-current assets to 1) increase cashflow (dividends) 2) grow the business.

GEARING:

Less than 100%

Business is lowly geared and low risk. Business is funding their operations predominantly through Owners Equity instead of debt.

Advantages: the business has opportunities to grow and could borrow funds to purchase assets/funds operations. The business could survive economic downturns or slow sales through borrowing of funds.

Disadvantages: Business could be missing out on opportunities for growth due to low risk.

INDUSTRY AVERAGE…… TRENDS….

Greater than 100%.

Business is highly geared. Business is funding their operations predominantly through debt instead of Owners Equity.

Advantages: Business has seized investment and growth opportunities through debt funding.

Disadvantages:

The business has limited opportunities to grow and or borrow funds to purchase assets/funds operations. Further growth must be funded through owner's equity.

Business is vulnerable to insolvency during economic downturns or slow sales.

INDUSTRY AVERAGE…… TRENDS….

PROFITABILITY:

Net Profit Ratio: (Higher the better) Example: 16% NPM – Demonstrates that for every $1 of Revenue (Sales) that 16cents is Net Profit. The business has a good control of their expenses, the NPM is better than the industry average of 10% however is slightly down on last year's NPM of 20%, demonstrating their expenses have increased this year.

Low NPM % = High Expenses

High NPM % = Low Expenses

Gross Profit Ratio: (Higher the better) Example: 45% GPM – Demonstrates that for every $1 of Revenue (Sales) that 45cents is Gross Profit. The GPM is lower than the industry average of 50% and lower than last year's GPM of 55%. The business needs to improve their cost control on COGS, or reprice the products that they are selling.

High GPM % = Low COGS & High Priced Goods

Low GPM % = High COGS & Low Priced Goods

Return on Owners Equity Ratio: (Higher the better) Example: 22% ROE – Demonstrates that for every $1 invested by the owner they are receiving a return of 22cents (The Net profit). The ROE is stronger than current Bank Interest rates of 1.50-3% demonstrating stronger returns than market interest rate benchmarks.

High ROE % = Strong investment opportunity, business is profitable and has good cost controls

Low ROE % = Weak investment opportunity, business is not as profitable as it could be and may have poor cost controls.

EFFICIENCY:

Expense Ratio: (No benchmark but the Lower the better) Example: 35% – Demonstrates that for every $1 of sales 35% is absorbed by the businesses expenses. The Expense is lower than the industry average of 48% and lower than last year's ratio of 40%. The business is efficient and has good cost controls.

High Expense ratio % = High Running Costs/Products may be poorly priced

Low Expense ratio % = Low Running Costs/Products may be adequately or well-priced

Accounts Receivable Turnover ratio: (Lower the better) Example: 42 days – Demonstrates that the business collects their debtors within 42 days. This is higher than the industry average of 28 days and worse than last ratio of 30 days. The business is inefficient at collecting their debtors and needs to enforce a stricter credit policy to ensure better cashflow.

High ACTR = Poor cashflow/ Lax credit policy/ inefficient

Low ACTR = Stronger cashflow/ Strong credit policy/ efficient